

Adani with Jagan Mohan Reddy in Davos, May 2022

## BLAST FROM THE PAST

**The US indictment states that Rs 1,926 crore in bribes was given to "foreign official #1", part of the then Andhra CM Y.S. Jagan Mohan Reddy's govt**

- As per the US court filings, the "corrupt payment" was offered in 2021 to an unnamed high-ranking Andhra Pradesh government official in exchange for facilitating the state's discoms' agreement to purchase 7 GW of solar power from the Solar Energy Corporation of India (SECI)
- The court indictment says that Gautam Adani personally met with "Foreign Official #1" in Andhra on Aug. 7, Sept. 12 and Nov. 20, 2021, to advance the execution of a power sale agreement between SECI and the state's discoms
- Jagan remains tight-lipped, but his party, YSRCP, has refuted the allegations, saying that procuring power at the competitive price led to savings of Rs 3,700 cr.

paid a bribe to state governments so that SECI could sign an MoU with them. Allegedly, this was done so that demand was generated from states and Adani got contracts."

In Odisha, it has been alleged that the Adani Group bribed their way around 2021-22 to grab PPAs. Fingers are being pointed at the previous Naveen Patnaik-led Biju Janata Dal government. The party issued a press release on November 22, calling the claims "baseless and incorrect". A statement from former energy minister and the current deputy chief whip of the BJD legislative party Pratap Keshari Deb claims that the 2021 PPA was signed "between two government agencies [SECI and Grid Corporation of Odisha or Gridco]." It was executed for the sole purpose of supplying renewable energy, Deb adds, which Odisha has been procuring from PSUs like NTPC and SECI since 2011 to fulfil its commitments.

However, the ruling BJP is unwilling to let go of this opportunity that easily. State law minister Prithviraj Harichandan has vowed to probe the allegations. "Appropriate agencies will investigate the alleged bribery," he says, "and clarity will emerge post-investigation."



**"THE US SYSTEM REACHES SUCH AN INDICTMENT STAGE ONLY AFTER AN ENORMOUS AMOUNT OF INVESTIGATION, COLLECTION OF EVIDENCE AND EVEN CONFRONTING THE ACCUSED"**

**SUBHASH CHANDRA GARG**
*Former Union finance secretary*

## SPARKING DEBATE

The one big question that has loomed ever since the storm broke is whether Adani and his executives can be tried in India based on charges in other jurisdictions and, if so, who would do that. Some are of the view that the allegations should be investigated in India under the Prevention of Corruption Act. "SECI, which auctioned this capacity, is at the heart of it, and they need to approach the Central Bureau of Investigation (CBI) to investigate this case," says Garg. "SECI agreed to buy power from Adani and Azure at off-market, high prices which state discoms weren't buying. Later, once the price was reduced and the parties were brought to the table, SECI effected the change. SECI's reputation is also at stake and must lodge a complaint before the CBI for investigating the alleged corruption and bribery." If SECI doesn't do it, the Union ministry of new and renewable energy should do so, Garg adds. R.P. Gupta, SECI's chairman, has said that the corporation has not been mentioned for any "wrongdoing" or "irregularity" in the Adani case.

Other experts say Sebi should have taken cognisance of the media reports